



SCOPE FOR GROWTH

Scalability refers to the ability of the business to increase sales without costs rising in proportion. It is an area where product- and service-based businesses differ.

- **Certain products** can be highly scalable. For example, once created, online courses, apps, or software, can be sold in unlimited numbers with little further cost.
- **All services** take time to deliver, which makes them less scalable, especially if more people need to be recruited to deliver them, raising costs. However, extra services can be added to the offering, giving scope for growth.

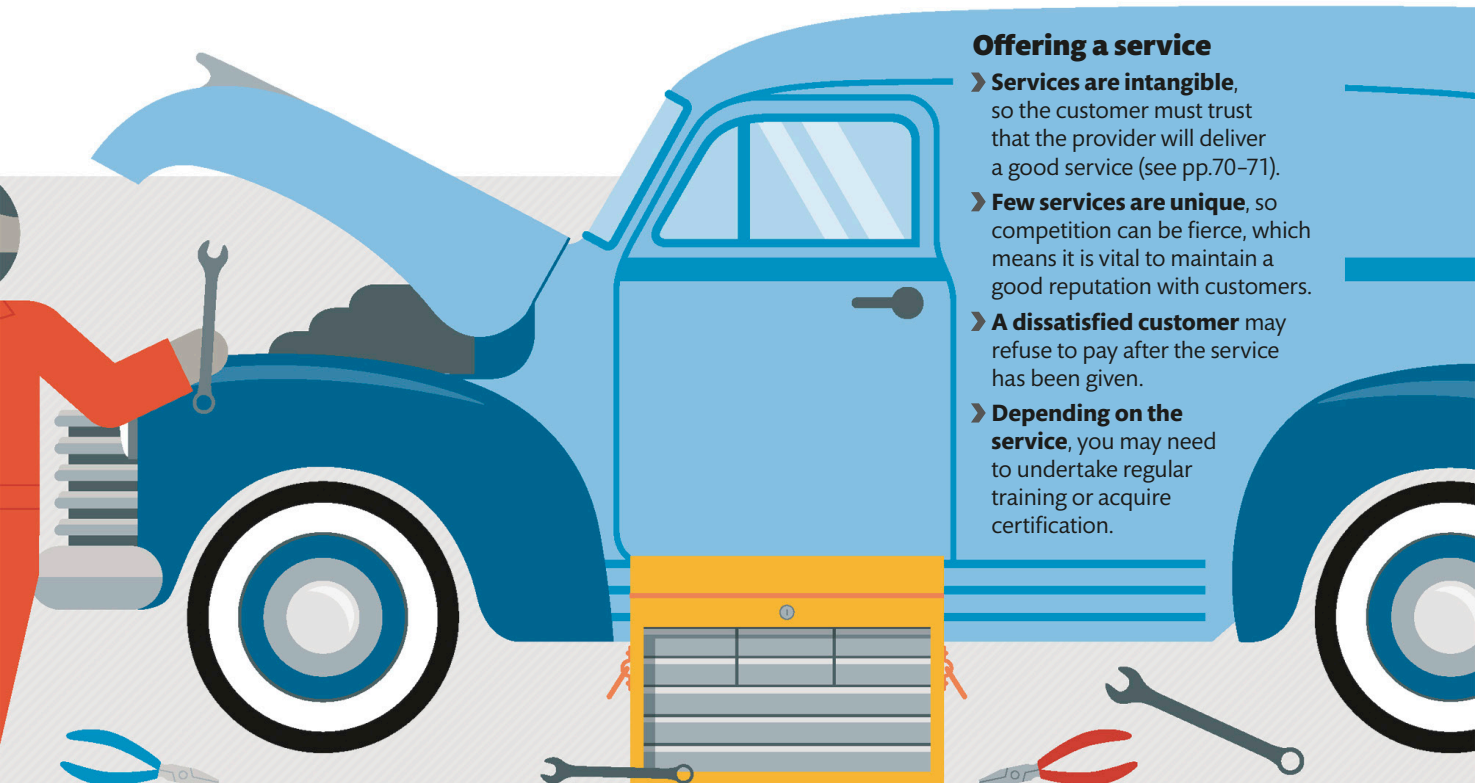


BE AWARE

- **Avoid running out** of stock, which will frustrate customers and might encourage them to shop with your competitors.
- **Do not expect** a good product or service to sell itself. The business must be set up to distribute and sell the product effectively.
- **Regularly compare** your prices, products, and the quality of your services against those of your competitors.
- **Make sure the products** and services you offer are fully compliant with all regulations. Check regularly.

“Quality in a service or product is not what you put into it. It is what the customer gets out of it.”

Peter Drucker, US management consultant



Offering a service

- **Services are intangible**, so the customer must trust that the provider will deliver a good service (see pp.70–71).
- **Few services are unique**, so competition can be fierce, which means it is vital to maintain a good reputation with customers.
- **A dissatisfied customer** may refuse to pay after the service has been given.
- **Depending on the service**, you may need to undertake regular training or acquire certification.